

Let me give you an example of how to use the measure rule. [Figure 59.6](#) shows a descending scallop at the top of an upward price trend. It acts as a reversal. How far will price decline? Compute the formation height by subtracting the low near B (21.11) from the high at A (23.75), giving a height of 2.64. Since the breakout is downward, subtract the result from the low (B) to get a target of 18.47. Price reaches the target in late July.

If the breakout were upward, then you would add the height (2.64) to C, the right lip high (at 22.71), for a target of 25.35.

If you want to increase the chance of success, then cut the height in half and apply it to the equation. For downward breakouts, that would almost double the success rate.

Once you know the target, compute the distance to the target as a percentage of the current price and compare the results to [Table 39.3](#). For example, if the distance to the target is 10 in a stock with a current (breakout) price of 50, that's a 20% move. [Table 39.3](#) says that (in bull markets after upward breakouts) 48% of scallops will fail to see price rise more than 20%. That also means 52% will exceed a 20% rise. Should you take the trade? It's your money, so you decide.

Breakout. Upward breakouts use a close above the high on the right lip of the scallop (point C in [Figure 59.5](#)). Downward breakouts use a close below the lowest low in the pattern (B). Since the breakout direction is unknown ahead of time, do not trade a scallop until the breakout occurs unless you have a compelling reason for doing so.

Remember that the breakout direction usually follows the price trend leading to the pattern. For example, if price is trending down, expect a downward breakout. In a strong bear market, an upward breakout may falter.

Stop location. Since scallops perform so poorly, use a stop to protect any profits you may have and to limit losses. A good starting point for downward breakouts is to use point C (see [Figure 59.5](#)) as the stop point. For upward breakouts, use the formation low (B) as the stop-loss point.

[Table 59.7](#) shows how often four locations work. Be sure to convert the potential loss into a percentage of the current price. Many consider a loss of 8% to be reasonable.